

# Recitation 5 (Section 005)

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Pranay Gundam

October 3, 2026

University of Minnesota

Please scan the QR code and fill out the attendance form!



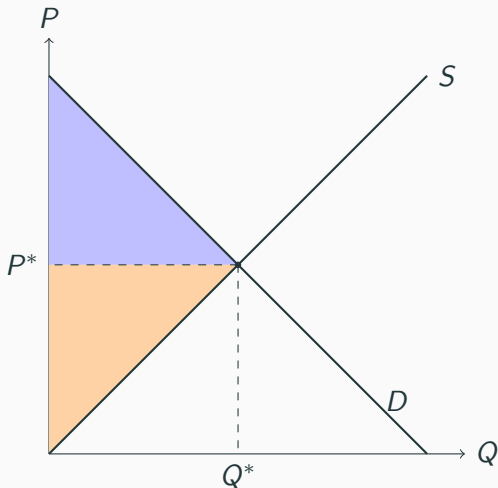
# Today's Agenda

- Announcements
- Last week review, calculating surplus
- In Class Activity

## Announcements!

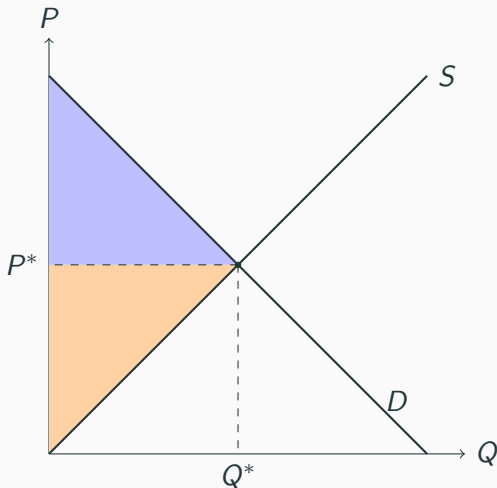
- Midterm is coming up on **October 12th from 6:50pm – 7:50pm.**
- Do the Honorlock Practice Quiz!
- I have my **midterm review** session on Friday from 5pm - 6pm.

# Consumer, Producer, and Total Surplus



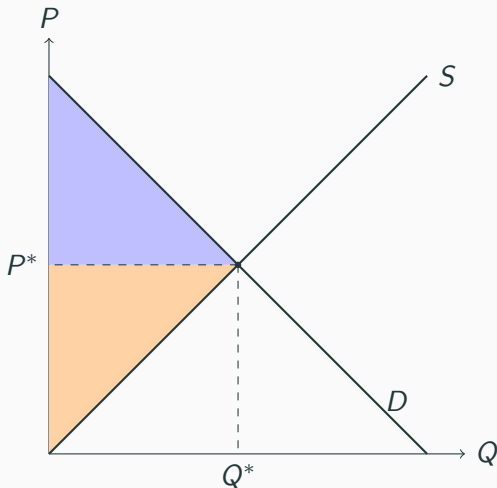
- Which shaded region is CS, and which is PS? How would you describe each?
- Why is CS the area *below* demand but *above* price?
- Is total surplus maximized at  $(Q^*, P^*)$ ? Why?
- If price rose above  $P^*$ , what happens to total surplus?

# Consumer, Producer, and Total Surplus



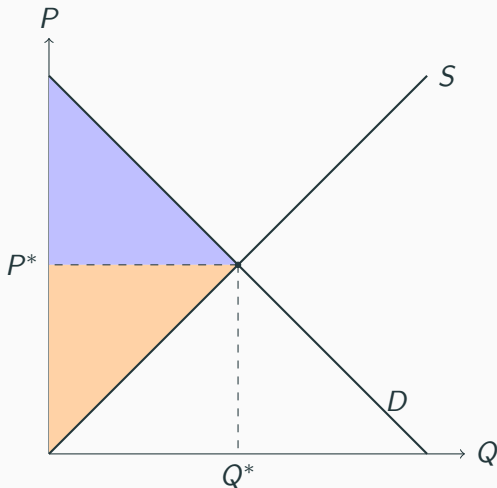
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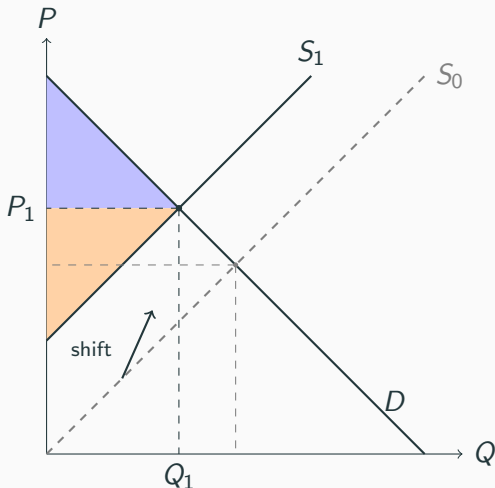
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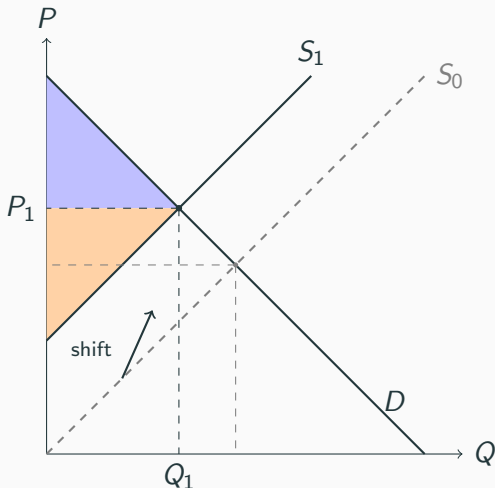
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# Effect of a Decrease in Supply



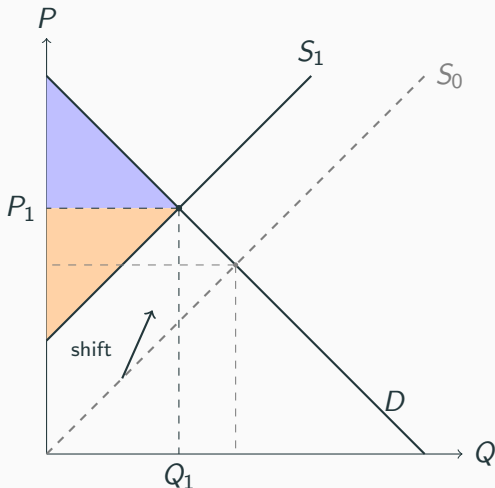
- What are some reasons the supply curve could have shifted?
- How do equilibrium price and quantity change as a result?
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- Does PS necessarily move the same way? What would make it fall too?

# Effect of a Decrease in Supply



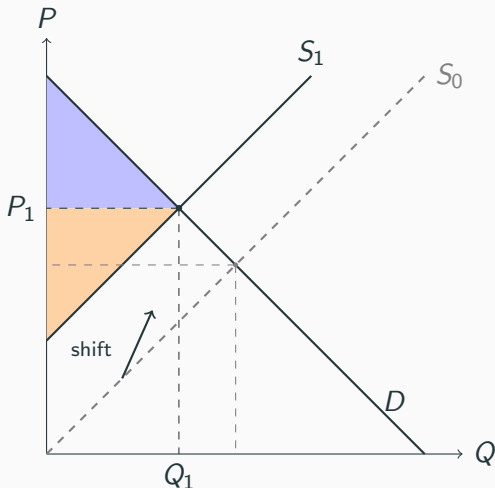
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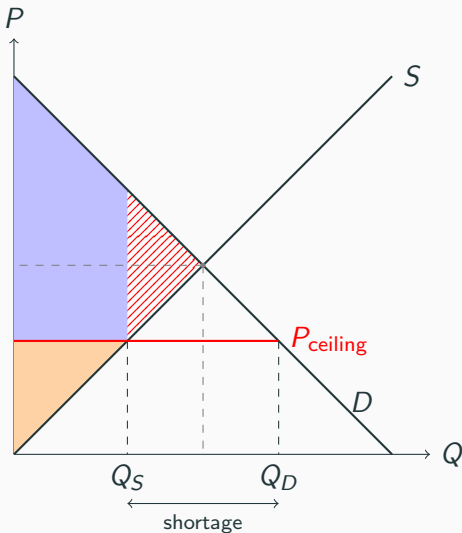
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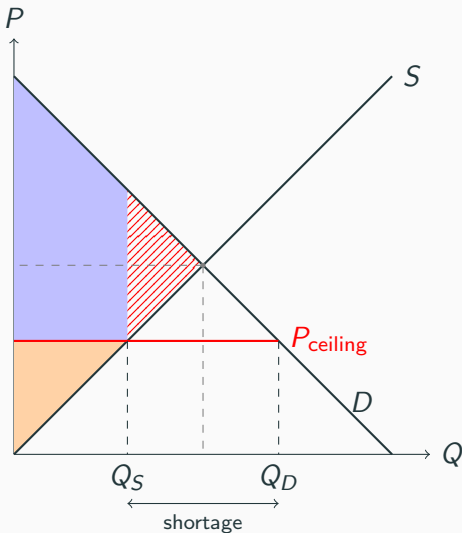
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# Effect of a Binding Price Ceiling



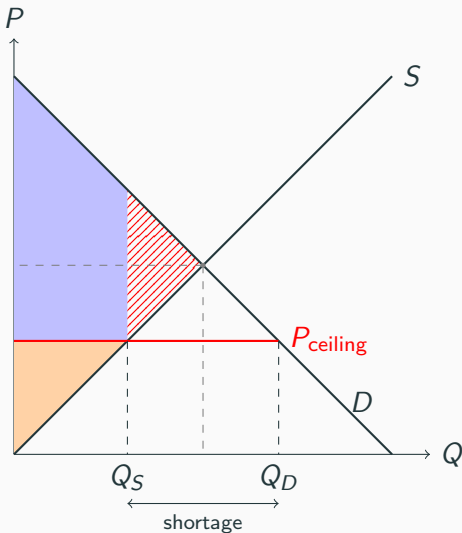
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Open up Canvas and navigate  
to **“In-Class Activity 4  
(Discussions)”**!

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